IRAN WAR FALLOUT

8,000 RESTAURANTS
Affected in Mumbai, up to 20% shut/ downsized and up to 50% at risk

8.5 MILLION
Number of jobs in the restaurant sector, many now under threat

FOOD & BEVERAGE

THAT EMPTY FEELING

The unprecedented crisis in commercial LPG supply has hit eateries hard. The worst affected are humble hawkers and dhabas

By **AVISHEK G. DASTIDAR**



ATUL KUMAR YADAV

KITCHEN CONFIDENTIAL A dull day at a prominent NCR restaurant

At Shah Ghouse, a famous Hyderabad restaurant, the biryani stopped being cooked over gas. It went back to the firewood. Thousands more are doing the same across India. Blame it on the Iran conflict, which unleashed India's worst commercial LPG crisis in memory. Around 90 per cent of over half a million restaurants use LPG as cooking fuel, nearly 60 per cent of which is imported from West Asia. The sudden supply crunch is a livelihood crisis for 8.5 million restaurant workers. Prices of 19-kg commercial cylinders in Delhi went up from Rs 1,580.50 in December to Rs 1,884.50 on March 22.

With the government prioritising domestic supply, a black market boomed. On March 10, the Indian Hotel and Restaurant Association stated that 20 per cent of Mumbai's hotels/ restaurants had closed down. In Bengaluru, over 40,000 establishments shut kitchens. In IT corridors such as Whitefield, over a million paying guest residents saw hostels strike dosas, chapatis and rotis off their menus. "We have been eating toast, electric heater boiled eggs and fruits for the past few days," says Martin M., a senior sales executive. Street hawkers, dhabas and cloud kitchens are the worst affected.

What is being done

State responses have been uneven. Delhi has limited regulated commercial LNG supply to 20 per cent of the city's average daily consumption of 9,000 cylinders, and restaurants were granted a 42 per cent share. On March 21, petroleum secretary Neeraj Mittal wrote to all state and UT chief secretaries, allowing an additional 20 per cent commercial LPG allocation—taking the overall supply to 50 per cent of pre-crisis levels—from March 23. Priority is to be given to restaurants, dhabas, hotels, industrial canteens and food processing units, but all commercial consumers have to register with oil marketing firms and apply for piped natural gas (PNG) connections.

What more needs to be done

Sagar Daryani, president of the National Restaurant Association of India, says they are requesting state governments to ensure greater LPG allocation for this sector, which was classified as an essential service during the pandemic. With millions of jobs at stake, there should be a financial relief package or fuel subsidy for those affected. Other measures can include faster PNG roll-out and adoption of more electric and solar-powered devices. ■

BOILING POINT

COMMERCIAL LPG CRUNCH

30-50%
Reduction in supply

₹1,883
Price in Delhi per 19 kg cylinder

₹142.50
Increase per 19 kg cylinder since start of the Iran war

Upto ₹6,000
Cost in black market

RESTAURANTS UNDER HEAT

95%
Dependent on LPG

15-20
The number of cylinders a restaurant uses in a month

₹4,500-6,000
Monthly cost increase per restaurant